

Insurance Power BI Project – Problem Statement Explained

1. High Claim Rejection Rates Causing Customer Dissatisfaction and Regulatory Scrutiny

A claim is a request made by a customer to receive money from the insurance company after an accident, hospitalization, damage, etc. The problem is that many claims are getting rejected. This makes customers unhappy, creates complaints, damages the company's reputation, and may attract attention from regulators. Power BI can help monitor total claims, approved claims, rejected claims, rejection percentages, and rejection reasons.

2. Inability to Identify Which Policy Types Generate Maximum Premium Revenue

Premium is the amount paid by customers to the insurance company. Management needs to know which policy types generate the highest revenue. By identifying the most profitable policies, the company can focus its sales and marketing efforts on those products. Power BI dashboards can display premium revenue by policy type and contribution percentages.

3. Poor Visibility into Agent Performance Across Different Regions

Insurance agents sell policies to customers. Management needs visibility into which agents and regions perform best. Without proper reporting, it is difficult to identify top performers and low-performing areas. Power BI can provide agent-wise and region-wise performance dashboards.

4. No Real-Time KPI Monitoring for Claim Settlement Ratio and Turnaround Time

Key Performance Indicators (KPIs) such as Claim Settlement Ratio and Turnaround Time are critical. Settlement Ratio measures approved claims versus total claims. Turnaround Time measures how long it takes to process a claim. Power BI can provide real-time KPI cards and monitoring dashboards.

5. Difficulty in Identifying High-Value Customers (Premium Segment) and Their Policy Mix

High-value customers contribute significant premium revenue. The company needs to identify these customers and understand which policy combinations they purchase. This helps improve retention, customer service, and cross-selling opportunities.

6. No Fraud Detection Mechanism Across the Claims Portfolio

Insurance fraud occurs when false or suspicious claims are submitted for financial gain. Examples include fake accidents, fake medical bills, or duplicate claims. Power BI can help identify suspicious patterns, unusually high claim amounts, and high-risk claims.

7. Seasonal Trends in Claim Filing Not Being Captured for Planning Purposes

Claims often follow seasonal patterns. For example, vehicle claims may increase during monsoon seasons. Understanding these trends helps the company plan staffing, budgeting, and risk management activities. Power BI can visualize monthly, quarterly, and yearly claim trends.

8. Customer Retention Metrics Not Measured Leading to High Policy Lapse Rates

Customer retention measures how many customers renew their policies. A policy lapse occurs when a customer fails to renew. Without retention analysis, the company may lose customers and future revenue. Power BI can track renewal rates, lapse rates, and customer churn trends.